

Digital Realty Trust, Inc.

NYSE: DLR | Data Center REIT | Sector: Specialized REITs

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Independent equity research · Draft for portfolio purposes

DRAFT — Sourced sections are complete. Sections marked in the copper margin are analytical and to be written by the author after calibrating the model.

1. Company Overview

Digital Realty Trust (NYSE: DLR) is the largest global provider of cloud- and carrier-neutral data center, colocation, and interconnection solutions. As of September 30, 2025, the company operated 311 data centers (including 89 held in unconsolidated joint ventures) comprising approximately 42.7 million square feet of operational space, with a further ~10.2 million square feet under active development. Digital Realty is headquartered in Austin, Texas and led by CEO Andrew Power and CFO Matthew Mercier.

The company carries investment-grade credit ratings of **BBB+ / Baa2 / BBB** (S&P / Moody's / Fitch), all with Stable outlooks. At quarter-end (9/30/25), market capitalization was approximately \$60 billion and total enterprise value approximately \$79 billion.

2. FY2025 Results & 2026 Guidance

FY2025 was a record year, with double-digit growth in revenue, Adjusted EBITDA, and Core FFO per share, driven by the 0–1 MW + interconnection business, backlog commencements, strong releasing spreads, and growing fee income.

Metric (FY2025)	Result	YoY
Total revenue	\$6.11 B	+10%
Core FFO / share (headline)	\$7.39	+10.1%
NAREIT FFO / share	\$6.96	—
Adjusted EBITDA	\$3.34 B	+14% (Q4)
Net debt / Adj. EBITDA	4.9x	—
Fixed charge coverage	4.5x	—
Dividend / share (annualized)	\$4.88	flat

Note on GAAP net income: Q2 2025 included a large one-time gain (~\$2.94 per share), which distorts GAAP net income for the year. Core FFO per share (\$7.39) is the cleaner operating metric and the basis for the valuation engine in the accompanying model.

2026 Guidance (issued 2/5/2026)	Range
Constant-currency Core FFO / share	\$7.90 – \$8.00 (~8% growth)
Total revenue	\$6.60 – \$6.70 B

Adjusted EBITDA	\$3.60 – \$3.70 B
Renewal spreads (cash / GAAP)	6–8% / 8.5–10.5%
Same-capital cash NOI growth	+4 – 5%

3. Valuation Framework

The accompanying three-statement model values DLR using two complementary approaches:

- DCF (FCFE): projected Core FFO per share → AFFO → free cash flow to equity, discounted at the cost of equity (CAPM), with an exit-cap terminal value on stabilized AFFO.
- NAV: forward stabilized segment NOI capitalized at market cap rates, plus development at cost and cash, less total debt and preferred equity.

Key sensitivity — calibrate before concluding: Both outputs are highly sensitive to the cap-rate, SP-NOI growth, and discount-rate assumptions. Data-center cap rates have compressed materially (premium AI/hyperscale assets have transacted below 5%), so the cap rate selected for NAV is the single largest driver of the result. The model's default cap rates (6–7%) are conservative relative to current market pricing; the author should set these to a defensible current level and replace the illustrative segment split with the 10-K segment disclosure.

4. Investment Thesis

[YOUR SECTION] State your 2–4 core thesis points in your own words. Suggested angles to consider: (a) secular AI/cloud demand vs. supply discipline; (b) the 0–1 MW + interconnection franchise and pricing power (renewal spreads); (c) the development pipeline and funding strategy (private capital / JVs) supporting capital-light growth; (d) balance-sheet quality (sub-5x leverage, investment-grade). Tie each point to evidence in the model.

5. Valuation Conclusion

[YOUR SECTION — from the model] After you finalize your assumptions (cap rates, SP-NOI growth, cost of equity, AFFO conversion) and plug the 10-K segment NOI, report your DCF value/share, NAV/share, blended target, and implied upside/downside vs. the current price. Explain which assumptions drive the result and why your inputs are defensible. Do not rely on the placeholder cap rates.

6. Key Risks

[YOUR SECTION] Identify 3–5 risks in your own words. Areas to weigh: cap-rate expansion / rate sensitivity; development execution and lease-up timing; customer concentration; power availability and cost; FX (large EMEA/APAC exposure); supply growth compressing future spreads; refinancing risk.

7. Recommendation

[YOUR CALL] Buy / Hold / Sell, with a target price and time horizon, justified by your thesis and your calibrated valuation. This is your judgment to make and defend.

Sources & Disclosures

Sources — primary filings:

- Digital Realty Q4 2025 results press release (February 5, 2026): FY revenue, Core FFO, 2026 guidance.
- Digital Realty Q3 2025 Form 8-K, Exhibit 99.1, SEC EDGAR (filed October 23, 2025): quarterly income statement, balance sheet, leverage, share counts, credit ratings.
- SEC EDGAR, Digital Realty Trust, Inc., CIK 0001297996.

Disclosure: This is independent research prepared for portfolio and educational purposes by a CFA candidate. It is not investment advice and not a recommendation to buy or sell any security. All financial figures are drawn from public filings and should be reconciled to Digital Realty's FY2025 Form 10-K before any decision. The author calibrates all forward assumptions and valuation conclusions independently.